

AUDIT INVESTIGATION REPORT

Investigation No. INV-00022 | Type: Approval Limit Review

Investigation ID:	INV-00022
Investigation Type:	Approval Limit Review
Status:	COMPLETED
Trigger Source:	Vendor risk reassessment trigger
Lead Investigator:	Katherine Taylor (EMP-10472)
Subject Employee:	Jason Douglas (EMP-16590)
Related Vendor:	NexPoint Analytics Ltd (VND-00528)
Related Transaction:	TXN-C561200318
Scope Period:	2021-12-05 to 2022-07-16
Created Date:	2024-04-22
Completed Date:	2024-06-05
Outcome:	SUBSTANTIATED

1. AUDIT QUESTION

"Are there transactions approved by employees whose authority limit was insufficient?"

2. BACKGROUND

This investigation was initiated following a vendor risk reassessment trigger relating to activity associated with employee Jason Douglas (EMP-16590) and vendor NexPoint Analytics Ltd (VND-00528). The investigation scope covers the period 2021-12-05 to 2022-07-16 and was conducted under the authority of the Internal Audit Charter and the Fraud Risk Management Policy.

3. METHODOLOGY

The investigation team reviewed transaction records, approval workflow logs, and supporting documentation associated with Transaction ID TXN-C561200318 (amount 10,179.09 USD, risk score 0.85). Interviews were conducted with relevant personnel and system access logs were reviewed for the scope period.

4. FINDINGS

Finding ID	Severity	Category	Description
FND-003504	MEDIUM	APPROVAL LIMIT	Approval granted by EMP-98281 who was not authorised to approve amounts above \$5,000. Transaction value: \$419,429.
FND-000595	LOW	VENDOR RISK	Payment issued to VND-VND-04483 rated LOW risk. Active contract CON-107227 in place. Enhanced due diligence not documented.

5. CONCLUSION

Based on the evidence reviewed, the allegations underlying this investigation are **SUBSTANTIATED**. The control breakdown identified poses a medium risk to the organisation and requires remediation.

6. ACTIONS TAKEN

- Matter referred to Legal & Compliance for further action.
- Formal written warning issued and recorded in personnel file.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Investigator	Katherine Taylor	EMP-10472	2024-06-05